

Fellowship Income Is Taxable. Here's the Plan.

A No-Nonsense Tax Guide for Graduate Students on Fellowship Income



You've just received your fellowship notice. The award letter says "not subject to employment taxes" and you breathe a small sigh of relief — until you read further and realize you've just been handed taxable income that your university will never withhold for you.

Here's the thing: the IRS absolutely expects taxes on fellowship money. The IRS just also expects you to figure that out on your own.

You're not irresponsible for missing this. Nobody told you. Your university has a general tax FAQ buried somewhere on their website. Your PI said "congrats." Your cohort groupchat debated it once and nobody resolved anything. And now it's October and you vaguely recall something about quarterly estimated tax payments and you've been quietly hoping it would somehow work itself out.

This guide is for you. It exists because the gap between what universities tell you and what the IRS expects from you is enormous — and you're supposed to fill it with no training and no

support. This guide will not do that for you — but it will tell you exactly what to do, step by step, so you're not scrambling at midnight on April 14th.

Here's what we'll cover: how to classify your fellowship type (it matters more than you think), which dollars are actually taxable versus tax-free, how to read your award letter with a critical eye, how to calculate and make quarterly payments, which forms you need to file, what to do about state taxes, common traps and how to avoid them, and how to build a system so this doesn't ambush you every year.

Let's get into it.



Part 1: Understand What You're Actually Dealing With

Chapter 1: Classify Your Fellowship Type Before You Do Anything Else

Before you do any math, file any forms, or panic about anything, you need to answer one question: What type of fellowship or grant do you have?

This matters because different types of funding are governed by different IRS code sections, taxed differently, and reported differently. Getting this wrong means you'll calculate your tax liability incorrectly, potentially for years.

Here's the IRS framework. Fellowship and grant income generally falls into three buckets:

Bucket 1: Scholarships

If your funding is explicitly described as a scholarship or fellowship awarded purely on academic achievement — and you are not required to perform any services in exchange — this is a scholarship under IRS rules.

Tax treatment: Generally tax-free when used for qualified tuition and required fees. Taxable when used for anything else (living expenses, travel, equipment not required by the institution).

Governed by: IRS Publication 970, Section 117.

Bucket 2: Compensation for Services

If your funding is paid to you in exchange for teaching, research, or other services — even if it's called a "fellowship" in common usage — the IRS treats it as compensation. This includes most assistantships, traineeships, and fellowships where you have a service obligation.

Tax treatment: Fully taxable as ordinary income. The university should withhold income taxes and issue you a Form W-2.

Governed by: IRS Publication 525.

Bucket 3: Educational Grants

This is a narrower category for direct grants to degree-seeking students that aren't based on academic performance. The tax treatment is similar to scholarships — tax-free for qualified education expenses, taxable for living expenses.

The gray area most people miss

Here's where it gets complicated. Many fellowships — including prestigious ones like NSF Graduate Research Fellowships and some university block grants — sit in a gray zone. The award letter often says the fellowship is "not subject to employment taxes" (which is technically true, because it's not W-2 wages). But that doesn't mean it's tax-free. It's still taxable income — just not subject to employment taxes like Social Security and Medicare.

This is the trap. "Not subject to employment taxes" gets read as "tax-free," and then you spend three years not setting aside money for taxes, only to discover at tax time that you owe thousands.

Action Steps:

1. Find your official award letter or grant agreement. Read it word for word. Look for language about service obligations, conditions of the award, and any statements about tax treatment.
2. Ask yourself: Am I required to teach, research, or perform any services to receive this funding? If yes, this is compensation, not a scholarship — and your university should be withholding taxes.
3. Locate your university's fellowship or student finance office contact. Email them and ask specifically: "Is this award reported as a scholarship or as wages on my tax forms?" Get the answer in writing.
4. If you still can't determine the bucket, assume the more conservative position: set aside 25-30% of your fellowship stipend for taxes. You can always adjust later.



Chapter 2: Identify Which Dollars Are Taxable and Which Are Not

Once you've classified your fellowship type, you need to determine exactly how much of your funding is taxable. The IRS rule is specific and straightforward, but it's not intuitive.

The core rule:

Qualified tuition and required fees paid directly to the institution: generally tax-free.

Everything else paid to you or for your benefit: taxable.

That's it. Let's unpack what that means in practice.

What qualifies as tax-free:

- Tuition for courses required by your degree program
- Required fees that are mandatory for enrollment

- Any amount paid directly to the university on your behalf for the above

What is taxable:

- Stipend or living allowance (even if called a "fellowship")
- Money paid directly to you in a lump sum
- Health insurance premiums paid on your behalf (in most cases — see your specific situation)
- Housing allowances or housing provided
- Money for books, supplies, or equipment not required as a condition of enrollment
- Travel funding unless directly tied to required educational activities

The line-item test:

Here's the practical exercise. Take your fellowship award letter and go through it line by line.

Example: You receive a \$30,000 fellowship package that includes:

- \$20,000 stipend for living expenses: taxable
- \$8,000 tuition waiver: tax-free
- \$2,000 health insurance subsidy: taxable in most cases (IRS treats employer-provided health benefits as taxable fringe benefits)

Your taxable income from this fellowship: \$22,000 (or potentially \$30,000 if the health insurance is also taxable — some arrangements treat it differently).

Important exceptions and nuances:

Some fellowships are structured as a single lump sum with no line-item breakdown. In that case, you apply the exclusion only to the portion that represents qualified tuition and fees — you need to estimate this based on what your actual tuition would cost if you weren't receiving the fellowship.

If your fellowship comes as a tuition waiver rather than cash, the value of the waiver may still be considered income for tax purposes in some states. More on this in Part 3.

Action Steps:

1. Obtain a detailed breakdown of your fellowship package if you don't have one. Request this from your fellowship administrator or student financial services.
2. List every component of your award on a sheet of paper. Label each as either "qualified tuition/fees" or "not qualified."
3. Calculate your estimated taxable income by adding up everything in the "not qualified" column.
4. If your award is paid as a lump sum with no breakdown, contact your student financial services office and ask for a tuition statement showing the value of qualified expenses. Use that to calculate your exclusion.
5. Set aside a specific percentage of your taxable fellowship income — aim for 25-30% initially — in a dedicated savings account you won't touch. Adjust based on your actual tax liability after your first filing.



Chapter 3: Read Your Award Letter With a Tax Lens

Your fellowship award letter is a legal document. Before you sign it, you should understand what it's telling you — and what it's not telling you — about your tax obligations.

Key phrases to identify:

"Not subject to employment taxes" — This is accurate but easily misinterpreted. It means the funding isn't subject to FICA (Social Security and Medicare) withholding because it's not classified as wages. It does NOT mean the income is tax-free. This phrase should set off an alarm in your mind that says "I need to understand my tax obligations myself."

"Scholarship or fellowship grant" — This is language from Publication 970 and suggests the funding falls under the educational exclusion rules. But it doesn't automatically make your entire award tax-free — only the qualified tuition portion.

"In consideration of services to be rendered" — This is a red flag. If your award letter contains language indicating you are expected to perform teaching, research, or other services, your fellowship may be reclassified as compensation by the IRS, regardless of what the university calls it.

"Conditional upon" or "subject to" — Look for conditions attached to the award. These often indicate a service component, even if it's implied rather than explicit.

"For the period of" — Note the dates. This matters for determining which tax year the income falls into.

What to look for in the fine print:

Service requirements: Even language like "fellowship recipients are encouraged to participate in departmental activities" can be read as a service expectation. If there's an implicit or explicit requirement to work, your fellowship is closer to compensation than a scholarship.

Enrollment requirements: Many fellowships require you to maintain full-time student status. This is generally fine — it's an eligibility condition, not a service obligation. But note it.

GPA or performance conditions: Some fellowships require maintaining a minimum GPA. This is also an eligibility condition, not services. Still note it.

What your award letter definitely won't tell you:

- That you likely owe estimated taxes quarterly
- How to calculate those quarterly payments
- What forms you need to file
- That if you don't withhold, you may face underpayment penalties
- What your state tax obligations are

This is the gap this guide exists to fill.

Action Steps:

1. Locate your original fellowship or grant agreement. If you received this years ago and can't find it, contact your fellowship administrator and request a copy.
2. Read through with a highlighter. Mark every sentence that mentions services, conditions, enrollment, or tax treatment.
3. Identify one person at your university you can go to with questions — ideally someone in student financial services or the fellowship office who understands tax implications. Build this relationship before you need it.
4. Before you accept a new fellowship or grant, review this checklist: Does it have a service component? Is it structured as wages or a scholarship? What's the line-item breakdown? These answers affect your take-home planning.
5. Keep a digital folder with your award letters, any tax correspondence from your university, and notes from conversations about your award's tax treatment. You'll need these documents at tax time.

Key Takeaway for Part 1: Your fellowship type determines your tax treatment. Most common fellowships — including NSF GRFP, university block grants, and institutional fellowships — are taxable income even when they're not subject to employment taxes. You must determine which dollars are taxable (generally everything except qualified tuition and required fees paid directly to the institution), set aside money to cover your tax liability, and understand that your university will not do this for you automatically.



Part 2: Solve the Quarterly Payment Problem

Chapter 4: Calculate Your Quarterly Payment in 30 Minutes

Here's the reality: if you're receiving fellowship income, there's no withholding. Your university pays you, and the IRS expects you to send them money four times a year.

This is called estimated tax. It's not a special tax — it's the same income tax you would have withheld from a regular paycheck, just collected differently. The IRS wants you to pay as you earn, not all at once in April.

The good news: calculating your quarterly payment is straightforward math. The bad news: most people don't do it until it's too late. Let's make sure you're not most people.

The estimated tax formula:

Your goal is to pay 100% of last year's tax liability (the safe harbor), or 90% of this year's tax liability, spread evenly across four quarters.

Most people with fellowship income should aim for the safe harbor approach because it's simpler: you look at last year's tax return, find the total tax owed, and divide by four. If you paid that much each quarter, you're protected from underpayment penalties even if your actual tax this year is higher.

Step-by-step calculation:

1. Get your previous year's tax return. Find Line 24 (Total Tax).
This is your target annual payment.
2. Divide by four to get your quarterly payment amount.

3. If your fellowship income started partway through the year, you still make four payments — but you can adjust the amounts so you're not overpaying in quarters when you had no income. The IRS doesn't require equal payments; they require roughly equal collection throughout the year.
4. If your income this year is significantly higher than last year, you may need to pay more to hit the 90% threshold. Calculate your estimated tax for the current year and compare. Pay whichever is higher.

The worksheet method:

For a more precise calculation, use IRS Form 1040-ES. This form has a worksheet that walks you through:

- Expected taxable fellowship income
- Minus qualified education exclusions
- Minus other income
- Equals taxable income
- Calculate tax using current tax brackets
- Apply credits and deductions
- Subtract last year's tax (safe harbor comparison)
- Result: your required payment

You don't need to file this worksheet with the IRS — it's for your planning purposes only.

Example calculation:

You received \$28,000 in taxable fellowship income this year (after the tuition exclusion). You're a single filer, standard deduction.

- Taxable income: $\$28,000 - \$14,600$ (2024 standard deduction for single) = $\$13,400$
- Tax on $\$13,400$ using 2024 brackets: approximately $\$1,340$
- Last year, your total tax was $\$1,100$
- Safe harbor target: $\$1,100$ (100% of last year, or $\$275$ per quarter)
- You might owe more this year due to higher income, but as long as you pay $\$275$ /quarter, you're protected from penalties

Action Steps:

1. Pull your previous year's federal tax return (Form 1040). Locate Line 24 (Total Tax).
2. Divide that number by four. This is your baseline quarterly payment.
3. If you started receiving fellowship income partway through this year, project your annual fellowship income, estimate this year's tax, and compare to last year's. Pay the higher amount in remaining quarters.
4. Open the IRS Form 1040-ES worksheet (available free at [irs.gov](https://www.irs.gov)). Fill it out once using your projected numbers to validate your calculation.
5. Write down your quarterly payment amount and post it somewhere you'll see it. This number is not optional — it's money you owe the government.



Chapter 5: Set Up IRS Quarterly Payments From a Zero-Balance Account

You know how much to pay. Now you need to actually pay it. Here's how to set this up cleanly, even if your bank account is perpetually empty.

Method 1: IRS Direct Pay (Free, Fast)

IRS Direct Pay is the IRS's free payment portal. You link it to your bank account, and payments are sent electronically.

- Go to irs.gov/payments
- Select "Direct Pay"
- Choose "Estimated Tax" as the payment reason
- Select the quarter and tax year
- Enter your payment amount
- Confirm your bank account and submit

You'll get an email confirmation. The payment typically processes within 1-2 business days.

Pros: Free, immediate, you get a confirmation. Cons: You need to do this manually four times a year.

Method 2: EFTPS (Electronic Federal Tax Payment System)

EFTPS is more robust for recurring payments. You enroll online (takes about a week to receive your PIN) and can schedule payments in advance.

- Go to eftps.gov to enroll
- Wait for your enrollment confirmation and PIN (typically 5-7 business days)
- Log in and schedule payments for each due date

Pros: You can schedule payments ahead of time and forget about them. Cons: Requires advance enrollment; not instant.

Method 3: Form 1040-ES Payment Vouchers (Mailing)

If you prefer to mail a check, Form 1040-ES includes payment vouchers. You fill out the voucher, attach a check, and mail to the IRS address for your state.

- Download Form 1040-ES from irs.gov
- Complete the payment voucher for each quarter
- Make the check payable to "United States Treasury"
- Include your Social Security Number and the tax year
- Mail to the address listed on the voucher

Pros: Paper trail if you need it. Cons: Slower, requires stamps, human error risk.

Which method should you use?

For most grad students: Start with IRS Direct Pay. It's free, fast, and you can set a calendar reminder to make each payment. Once you've filed once and see how the process works, you can decide if you want to set up EFTPS for automation.

What about bank account issues?

If your account balance is consistently near zero, the key is timing. Know your quarterly due dates (see Chapter 6) and plan for them. When your fellowship disburses, move your tax set-aside amount to your IRS payment account before it gets absorbed into your regular spending.

Some students open a separate savings account specifically for tax payments and auto-transfer a percentage each time they receive fellowship income. This is a good system.

Action Steps:

1. Visit irs.gov/payments right now. Bookmark the page. This is your portal for the next four years.
2. If you have never used IRS Direct Pay, try it once with \$0 to see the interface. You can cancel before final submission.
3. If you prefer automatic scheduling, go to eftps.gov and start the enrollment process now. You'll have your credentials within a week.
4. Set up a dedicated savings account for tax payments if you don't have one. Move at least 25% of each fellowship disbursement there immediately.
5. Set calendar reminders for each quarterly payment due date, one week in advance, so you have time to make the payment.



Chapter 6: Know the Four Payment Due Dates (and What Happens If You Miss Them)

The IRS doesn't accept late estimated tax payments with a slap on the wrist. They charge interest — and the interest rates are currently elevated (around 8% annually as of 2024, though this changes quarterly). So knowing these dates matters.

The four due dates:

| Quarter | Income Period | Due Date |

| Quarter 1 | January 1 – March 31 | April 15 |

| Quarter 2 | April 1 – May 31 | June 15 |

| Quarter 3 | June 1 – August 31 | September 15 |

| Quarter 4 | September 1 – December 31 | January 15 (of the following year) |

The prior-year safe harbor exception:

If you owed less than \$1,000 in taxes last year (after withholding), you may qualify to skip all quarterly payments. This is because the IRS calculates underpayment penalties based on whether you paid 90% of this year's liability or 100% of last year's liability — whichever is smaller. If last year's total tax was under \$1,000, the penalty threshold is so low that quarterly payments may not be required.

However — and this is important — if you had no tax liability last year (you were an undergrad or had no income), you are NOT automatically exempt from quarterly payments. The IRS exemption for "no tax liability" only applies if you had no tax liability in the prior year AND you were a U.S. citizen or resident alien for the full year. Most grad students who are new to fellowship income did not have significant tax liability the prior year, but check with the IRS or a tax professional if you're unsure.

What happens if you miss a payment:

If you miss a quarterly payment, the IRS will calculate a penalty when you file your annual return. The penalty is based on the amount you underpaid, multiplied by the IRS interest rate, for the number of days late.

But here's the key: if you make up the missed payment in a later quarter, the penalty calculation gets more complex. The IRS charges interest on underpayment from each quarter's due date, but if you catch up by year-end, the total penalty may be minimal or zero.

What happens if you skip ALL quarterly payments:

If you owe \$1,000 or more at tax time (total tax minus withholding), you'll likely face an underpayment penalty. This is calculated on Form 2210. The penalty is essentially interest on the amount you should have paid quarterly, plus a small percentage.

In extreme cases (very high income, no withholding, significant underpayment), the penalty can run into hundreds or thousands of dollars. This is avoidable by making any reasonable quarterly payment — even if it's not the full calculated amount.

January 15 is the trap:

January 15 falls right after the holidays, when most people are broke and distracted. This is the quarter that trips up the most people. Plan for it.

Action Steps:

1. Put these four dates in your calendar right now: April 15, June 15, September 15, January 15. Add reminders one week before each.
2. If you're self-employed or have other income alongside your fellowship, confirm which quarters you're required to pay. Most fellowship-only recipients pay all four.
3. If you missed a payment in a previous quarter, don't skip the next one. Make the payment on the next due date. Partial payment is better than no payment.
4. After your first fellowship tax filing, evaluate whether your quarterly payments are tracking correctly. Adjust amounts based on your actual tax liability.
5. If you owe a significant amount at tax time, set up an installment agreement with the IRS (they offer them). This prevents the situation from worsening while you pay off the balance.

Key Takeaway for Part 2: Fellowship income has no withholding, so the IRS expects you to pay estimated taxes quarterly. Calculate your payment using the safe harbor method (100% of last year's tax divided by four), set up IRS Direct Pay or EFTPS, and mark all four due dates in your calendar. Missing payments triggers interest

and penalties, but even modest payments reduce or eliminate these. The January 15 payment is the most commonly missed — plan for it.



Part 3: File the Right Forms Without a Tax Professional

Chapter 7: Pull the Correct 1098-T and Decode It

The 1098-T is the tuition statement your university issues each January. It's central to your fellowship tax filing, and it's also one of the most commonly misunderstood forms.

What the 1098-T reports:

Your university is required to send you a 1098-T if you were enrolled at least half-time in a degree program during the calendar year. It reports either:

- Box 1: Total payments received for qualified tuition and expenses (what you or your fellowship paid TO the institution)
- OR Box 2: Total charges billed for qualified tuition and expenses (what the institution billed, whether or not paid)

Universities choose which method to use — and most use Box 2 (billing method), which confuses people because their fellowship money never touched their bank account. The university took it directly from your funding package.

What your 1098-T does NOT tell you:

- How much of your fellowship was taxable vs. tax-free
- Whether your fellowship is classified as a scholarship or compensation
- How to file your return

Reading your boxes:

- Box 1 (or 2): The total qualified tuition and required fees. This is the number that relates to your scholarship exclusion.
- Box 5: Scholarships or grants. This shows the total scholarship/fellowship amount your university knows about — but be careful. This number may not match your taxable income calculation because it includes the full fellowship amount, not just the tax-free portion. Also, Box 5 often includes fellowships that are paid directly to you (taxable income) alongside tuition waivers (potentially tax-free). Don't use Box 5 as your taxable income figure.
- Box 4: Adjustments to scholarships for prior years. Ignore unless you've amended a prior return.
- Box 6: Deductible tuition and fees. This is for education credits (American Opportunity or Lifetime Learning), which are separate from the fellowship exclusion. Most fellowship recipients can take one of these — more on this below.

The Box 1 vs. Box 2 problem:

If your university uses the billing method (Box 2), your 1098-T shows the gross amount they billed you for tuition — including any portion covered by your fellowship. This can be confusing because you may not have paid that amount directly. The number on your 1098-T might be \$20,000, but your actual out-of-pocket payment might have been \$0 if your fellowship covered the whole thing.

For your tax purposes, you use the 1098-T as a reference, not as the final word on your taxable income. You need to reconcile what your fellowship actually paid versus what qualified expenses were.

Errors to watch for:

1098-T forms frequently have errors. Common ones:

- Missing your SSN or having an incorrect SSN (will cause processing delays)
- Reporting the wrong tax year
- Including fees that aren't qualified (some administrative fees are excluded)

- Duplicating amounts if you transferred between programs

Review your 1098-T as soon as you receive it in January. Contact your university's student financial services office to request a corrected form if you see errors.

Action Steps:

1. Request your 1098-T from your university in January if you don't receive it by early February. Forms should be available by January 31.
2. Review each box. Note which method (Box 1 or Box 2) your university uses.
3. Cross-reference the amounts on your 1098-T against your own records: What did your fellowship pay directly to the institution? What did you pay out of pocket?
4. If you see an error (wrong SSN, wrong amounts, duplicate reporting), contact your university's student financial services immediately. Corrected 1098-Ts can take weeks.
5. Save your 1098-T with your tax records. You'll need it to claim education credits if you're eligible.



Chapter 8: Complete Your 1040 With Fellowship Income

Filing your taxes with fellowship income isn't fundamentally different from filing with any other income — you just need to know where to put the numbers.

Where fellowship income goes on Form 1040:

Taxable fellowship income (after the tuition exclusion) goes on Line 7 of Form 1040 as "Taxable scholarships, grants, and fellowship awards." This is the same line used for scholarship and grant income.

If your fellowship was reported on a W-2 (because it's compensation for services), it goes on Line 1 as wages instead. Make sure you know which applies to your situation.

The qualified tuition exclusion — Form 8815:

If you received a scholarship or fellowship grant and used it for qualified tuition and required fees, you may be able to exclude some of that income from taxation. This is claimed on Form 8815, which attaches to your Form 1040.

Here's the key: You can only exclude the amount that was used for qualified tuition and required fees that were required for your enrollment or attendance at the institution. If your fellowship paid for your living expenses, that portion cannot be excluded.

Education credits — Form 8863:

Many fellowship recipients are also eligible for education credits — the American Opportunity Credit (AOC) or the Lifetime Learning Credit. These are valuable tax credits that can reduce your tax liability dollar for dollar (unlike deductions, which only reduce taxable income).

The AOC (up to \$2,500 per student) is available for the first four years of post-secondary education if you're enrolled at least half-time. It phases out at higher income levels, but most fellowship recipients are below the phase-out thresholds.

The Lifetime Learning Credit (up to \$2,000 per return) is available for any year of post-secondary education and has no enrollment requirements. It phases out at higher income levels as well.

You cannot claim both credits for the same student in the same year. Choose the one that gives you the larger benefit.

Deductions you can claim:

- Standard deduction (\$14,600 for single filers in 2024 — take this unless you have significant itemized deductions)
- Student loan interest deduction (up to \$2,500 per year, above-the-line deduction — you don't need to itemize)
- Tuition and fees deduction (up to \$4,000, subject to income limits — this is an above-the-line deduction)

Filing as a graduate student:

Most PhD students file as single. If you're married, evaluate both filing separately and married filing jointly to see which reduces your combined tax liability. If your spouse has significant income, filing separately might push you into a lower bracket on your fellowship income.

Action Steps:

1. Gather all your documents before you start: Form 1098-T, any W-2 (if applicable), your award letter, records of qualified tuition expenses paid.
2. Calculate your qualified tuition exclusion using Form 8815 if applicable. This reduces your taxable income.
3. Determine whether you're eligible for an education credit using Form 8863. Calculate both the AOC and Lifetime Learning Credit to see which is higher.
4. Use tax software (Free File at irs.gov, or commercial options like TurboTax or FreeTaxUSA) to file. These tools are designed to walk you through fellowship income correctly. Do not attempt to file a paper return by hand unless you've done this before.
5. If your fellowship was structured as compensation and you received a W-2, make sure that income appears on your W-2 and is included in your wages line. If it doesn't match your records, contact your university's payroll office.



Chapter 9: Handle State Tax Filings (Yes, You Probably Have to Do This Too)

Federal taxes get most of the attention, but most states tax fellowship income too — and state rules can differ significantly from federal rules.

States with no income tax:

If you live in a state with no state income tax (Alaska, Florida, Nevada, South Dakota, Tennessee, Texas, Washington, Wyoming), you don't need to file a state return. But note: some of these states have alternative taxes or reporting requirements even without an income tax. Check your state's specific rules.

States with fellowship income rules that differ from federal:

California: Fellowship grants are generally taxable for California purposes, even if excluded federally. If you live in California, expect to pay state taxes on your full fellowship amount. This is a significant issue for UC fellowship recipients.

New York: New York follows federal treatment for scholarship exclusions, but has its own rules for certain grants. New York State residents generally don't pay tax on scholarship funds used for qualified education expenses.

Illinois: Follows federal rules on scholarship exclusions.

Pennsylvania: Fellowship grants are generally taxable. The state has limited education deductions.

Massachusetts: Follows federal rules for the most part, but confirm with your specific situation.

What this means for you:

You need to check the rules in the state where you were a resident on December 31 of the tax year. This is your residence state — not necessarily the state where your university is located, though those often match.

The residency complexity:

If you moved from your home state to attend graduate school, your residency state may still claim you as a resident and expect you to file a state return. Many state tax authorities do not consider student status as breaking residency. This is a common trap — you leave Ohio for California for graduate school, and Ohio still wants taxes on your fellowship.

Check with both states: your home state tax authority and your school state tax authority. Most states have a form or procedure for determining residency status for tax purposes.

Action Steps:

1. Identify the state where you were a legal resident on December 31 of the tax year. This is your state for tax purposes.
2. Look up your state's tax rules for fellowship income. Start with your state's Department of Revenue website. Search for "fellowship income" or "scholarship tax."
3. If your residency state and school state are different, check both states' rules. Some states have specific forms or provisions for students attending school out-of-state.
4. Use tax software that handles state filing. Most major tax software packages include state returns and will walk you through the fellowship income questions.
5. Set aside money for state taxes — typically 5-10% of your taxable fellowship income, depending on your state's rates. Some states (like California) may require higher percentages.

Key Takeaway for Part 3: Your 1098-T reports tuition information from your university but doesn't tell you how much of your fellowship is taxable. Use it as a reference alongside your own records. On your Form 1040, report taxable fellowship income on Line 7 and claim the qualified tuition exclusion on Form 8815 if applicable. Most fellowship recipients are also eligible for education credits. State taxes are a separate obligation — check your residence state's rules, because state treatment of fellowship income differs from federal rules in many states.



Part 4: Protect Yourself — Common Traps and How to Avoid Them

Chapter 10: Watch Out for These Fellowship Tax Mistakes

The IRS doesn't care that you didn't know. They care that you didn't pay. Here are the most common mistakes fellowship recipients make — and how to sidestep them.

Mistake 1: Assuming "not subject to employment taxes" means tax-free

We've covered this, but it bears repeating. This phrase appears in many award letters and causes enormous confusion. It means the money isn't subject to Social Security and Medicare withholding. It does NOT mean the IRS doesn't want income tax on it.

If you take nothing else from this guide, take this: your fellowship income is almost certainly taxable at the federal level (and probably the state level too), and you are responsible for paying taxes on it.

Mistake 2: Not setting aside money

Most fellowship recipients receive their funding as a monthly or semester stipend. By default, you spend it as it comes in. The problem is that every dollar you receive is after-tax money — except you haven't paid the tax yet.

If you receive \$2,000/month and spend it as it arrives, you'll have nothing to send to the IRS in April (or quarterly). Set aside 25-30% of each disbursement immediately. Ideally before it hits your checking account.

Mistake 3: Missing the quarterly deadlines

This is the second most common problem after the tax-free assumption. You know you owe taxes, but you keep pushing the quarterly payment to "next month" until April arrives and you've missed three quarters.

The IRS interest rate on underpayment is currently elevated. Don't underestimate the cost of delay.

Mistake 4: Not filing because you didn't receive a W-2

If you're used to W-2 employment, you might assume you don't need to file if you didn't receive a W-2. Wrong. The filing requirement for fellowship income is based on your total income, not on whether you received a specific form.

If your taxable fellowship income (after exclusions) is above the filing threshold (\$14,600 for single filers in 2024), you must file. If you're below that threshold, filing is optional but often still beneficial (to claim refundable credits like the education credits).

Mistake 5: Claiming too large a tuition exclusion

You can only exclude scholarship/fellowship funds used for qualified tuition and required fees. If you claim the full amount of your fellowship as a tuition exclusion when most of it was for living expenses, you'll underpay your tax and potentially face an audit.

Use your actual records: What went directly to the university? What went to you for living expenses? Only the former qualifies for the exclusion.

Mistake 6: Ignoring state taxes

Federal tax is only half the battle. Many fellowship recipients get so focused on their federal filing that they completely forget about state taxes — until they receive a notice from their state tax authority the following year.

Check your state obligations now, not in April.

Mistake 7: Not amending prior returns

If you received fellowship income in prior years and didn't handle the tax correctly, you can amend those returns (typically within three years of the original filing). If you owed tax and didn't pay it, amended returns can reduce penalties and interest by getting you closer to correct compliance.

Action Steps:

1. Make a commitment right now: Set aside 25-30% of each fellowship disbursement in a dedicated account before you spend any of it.
2. Put your quarterly due dates in your calendar right now. Today. Don't let another quarter go by without a payment scheduled.
3. If you've filed incorrectly in prior years, consider amending those returns. The three-year window is real — don't miss it.
4. Read your award letter one more time, looking specifically for the "not subject to employment taxes" language. Understanding this phrase is the key to everything else.
5. If you receive any IRS notices, respond promptly. Don't ignore them. Most IRS notices can be resolved without a tax professional if you address them early.



Chapter 11: What to Do If You Underpaid (It Happens, Here's How to Fix It)

You underpaid. Maybe you didn't know, maybe you didn't have the money, maybe you thought quarterly payments were optional. It happens. The good news is that the IRS has processes for this, and the situation is fixable.

How underpayment penalties work:

The IRS calculates underpayment penalties using Form 2210. The penalty is essentially interest on the amount you underpaid, calculated from each quarter's due date. The interest rate is set quarterly (currently around 8% annually for 2024, though this changes).

If you underpaid by a small amount, the penalty might be \$50 or \$100. If you underpaid significantly, it could be hundreds or thousands.

How to calculate your penalty:

You can calculate your own underpayment penalty using Form 2210 if you want to know what to expect. However, most tax software will calculate it automatically when you file.

The penalty is generally waived if:

- You owed less than \$1,000 in total tax after withholding (safe harbor)
- OR you paid at least 90% of this year's tax liability through quarterly payments or withholding
- OR you paid 100% of last year's tax liability (whichever is smaller)

What to do if you owe a significant amount:

1. Don't panic, but don't ignore it. The IRS charges interest on outstanding balances, and the interest compounds. Address it.
2. File your return on time even if you can't pay. The penalty for not filing is much higher than the penalty for not paying. Filing on time limits the failure-to-file penalty.
3. Pay as much as you can with your return. Even paying a portion reduces the interest that accrues.
4. Set up an installment agreement if you can't pay in full. The IRS offers short-term (180 days or less) and long-term payment plans. Apply online at irs.gov.

5. Consider contacting the IRS if your situation is particularly difficult. In some cases, they offer offers in compromise (settling for less than you owe) or temporarily delay collection if you truly cannot pay. These are not common outcomes, but they exist.

What to do going forward:

If you underpaid this year, your goal is to avoid underpayment next year. Adjust your quarterly payment calculations to account for the amount you actually owed. If you consistently underpaid because you miscalculated, switch to the safe harbor method (pay 100% of last year's tax liability quarterly) — it's the most conservative and protective approach.

Action Steps:

1. If you suspect you underpaid this year, complete Form 2210 or use tax software to calculate the penalty before you file. Know what to expect.
2. If you owe more than you can pay in full, pay what you can with your filed return and apply for an installment agreement at irs.gov/apply-for-payment-plan.
3. Adjust next year's quarterly payments: use the safe harbor method (divide last year's total tax by four) as your baseline.
4. If the penalty seems wrong, you can request a penalty abatement. Reasonable cause (like not knowing the rules) sometimes works, especially for first-time offenders, but it's not guaranteed.
5. Keep records of all estimated tax payments you made this year. You'll need them when you file to prove you made payments and calculate the penalty correctly.

Chapter 12: Build a Simple System So This Never Sneaks Up on You Again

You've gotten through the hard part. You understand your obligations, you've made your quarterly payments, you've filed correctly. Now you need a system so this doesn't ambush you again next year.

The annual fellowship tax calendar:

Here's a simple timeline that keeps you on track every year:

January: Request your 1098-T (if not received automatically). Confirm your fellowship for the new year (same amount? renewed? ended?). Review any changes to IRS rules or state rules.

February: Prepare your prior-year tax return. Most fellowship recipients should file by mid-February to allow time for corrections. If you're owed a refund, file early. If you owe, file on time even if you need a payment plan.

March: Review your previous year tax calculation. Determine your quarterly payment baseline (100% of last year's total tax). Set up your payment accounts for the new year.

April: First quarterly estimated tax payment (April 15). Update your calendar with all four due dates for the new year.

June: Second quarterly payment (June 15). Mid-year check-in: Is your fellowship ongoing? Adjust payment amounts if your income changed significantly.

September: Third quarterly payment (September 15). Year-end planning: Any fellowship changes for the fall? New grants starting? Factor these into your Q4 calculation.

December: Year-end review. Project your total fellowship income for the year. Compare to last year. Adjust Q4 payment if needed.

January (following year): Fourth quarterly payment (January 15). Cycle restarts.

The money system:

Open a separate savings account exclusively for tax payments. Every time you receive a fellowship disbursement, immediately transfer 25-30% to this account. Never touch this account except for IRS payments.

This sounds simple because it is. The complexity comes from not doing it — from mixing tax money with spending money and then discovering at tax time that the money isn't there.

The document system:

Maintain a digital folder (Google Drive, Dropbox, whatever you use) with:

- Your fellowship/grant agreements
- Any correspondence about tax treatment from your university
- Your 1098-T forms
- Copies of your filed tax returns
- Records of quarterly estimated tax payments
- Notes on changes to your fellowship terms

Update this folder whenever something changes. You'll thank yourself when tax season comes.

The knowledge system:

Tax rules change. The standard deduction changes. Tax brackets change. Fellowship tax rules change less frequently, but they do change. Once a year — ideally in January — spend 30 minutes reviewing your understanding. Read one article, check the IRS updates page, or review your notes with fresh eyes.

You don't need to become a tax expert. You need to stay roughly current so that assumptions you made three years ago are still valid.

Action Steps:

1. Right now, set up a recurring calendar entry for this time next year: "Fellowship tax check-in." Put it on your birthday if you need a reliable annual anchor.

2. Open a separate savings account for tax payments if you haven't already. Name it something obvious like "Fellowship Tax Fund."
3. Set up an automatic transfer rule: 25-30% of each fellowship deposit goes to your tax fund account immediately.
4. Create a digital folder and start saving your fellowship documents. Do this today — not next week.
5. Send yourself a note in six months: "Still on track with quarterly payments?" This is optional but useful.

Key Takeaway for Part 4: Fellowship tax obligations are manageable if you build a system. The two biggest risks are not setting aside money and missing quarterly deadlines — both are solvable with a dedicated savings account and a marked calendar. If you underpaid, file on time, pay what you can, and adjust next year's payments. Use an annual calendar to stay on track, and maintain a document folder so you never scramble for records at tax time.



Conclusion

Here's what you now know that you didn't know before you started this guide:

Your fellowship income is taxable. The "not subject to employment taxes" language in your award letter means it's not a W-2 wage — it doesn't mean it's tax-free. You are responsible for calculating your tax liability, making quarterly estimated tax payments, and filing the correct forms. Your university will not do any of this for you.

But you also now know exactly how to handle it:

1. Classify your fellowship type to understand which IRS rules apply.
2. Calculate your taxable income using the qualified tuition exclusion.

3. Make quarterly estimated tax payments using the safe harbor method.
4. File your annual return with your 1098-T, Form 1040, and applicable education credits.
5. Handle state tax obligations in your residency state.
6. Build a system so this runs on autopilot next year.

This isn't complicated. It's just unfamiliar. The IRS rules exist; they're not going to change because you're confused. But they're knowable, and they're manageable.

Your next step:

Right now, do these three things:

1. Open a separate savings account for tax payments.
2. Transfer 25-30% of your last fellowship disbursement (or your next one) to that account.
3. Add these four dates to your calendar: April 15, June 15, September 15, January 15.

That's it. You don't need to figure out everything today. You just need to start.

This guide pairs with the Fellowship Tax Action Checklist — a companion document with step-by-step checklists for each part of the process, a fillable quarterly payment worksheet, a document checklist for your records, and state-by-state quick reference for the most common fellowship recipient situations. Use both documents together: this guide for the explanation, the checklist for the action.

You got this. The IRS expects taxes on fellowship money. Now you know exactly what to do about it.



This guide is for informational purposes and does not constitute tax advice. Individual circumstances vary. For complex situations — multi-year grants, cross-state residency, changes in enrollment status, or significant fellowship amounts — consult a qualified tax professional.